facade of success, as long as the times are good. They tend to be relatively young and flashy firms, and spend on press relations, lobby with bureaucrats and politicians, that put in more effort on image and influencing policy rather than the substance of innovation and cost-cutting. They are the darlings of the stock market in their moment of glory.

There is an element of a Ponzi scheme here: the early investors are given fabulous returns using capital brought in by the next wave of investors. The consolidated financial statements show poor profits: the firm runs a lavish expenditure programme by using money belonging to lenders or shareholders, and not operating profit.

When the tide turns, it becomes impossible to keep up the show, and bad news tumbles out. This bad news ranges from mundane business failure to lurid revelations of fraud and violations of law.

These revelations tend to emerge when the times are bad. This is one element of the feedback loops that are operating in a crisis.

Should budgetary resources be used for a bailout?

In this book, we have emphasized that public expenditure is a precious resource. Obtaining public funds is not easy: Each rupee of public spending imposes a cost of about Rs 3 upon society.

In a financial crisis, when there is a discussion about the use of public money, such a high bar should be applied. We should estimate projected GDP under two scenarios: if Rs X of fiscal resources are used versus if they are not used. The decision to use fiscal resources should require a high bar: an impact upon GDP of five or ten times the proposed spending.

For some people, all use of fiscal resources in a macroeconomic/financial crisis is abhorrent. The question should instead be viewed in a pragmatic and not ideological way. The use of public money to help resolve a crisis is no different from any other use of public money. Public money should be used when, and only when, the value for money is very high. The gains to society from using public money should be well above the 3X test.